ACCELERATED DEATH BENEFIT SUMMARY and DISCLOSURE STATEMENT

THIS IS A SUPPLEMENT TO HEALTH INSURANCE. IT IS NOT A SUBSTITUTE FOR ESSENTIAL HEALTH BENEFITS OR MINIMUM ESSENTIAL COVERAGE AS DEFINED IN FEDERAL LAW.

IMPORTANT NOTICE TO APPLICANT/BUYER REGARDING ACCELERATED DEATH BENEFITS

The benefits provided by this Accelerated Death Benefit Endorsement are not intended to provide, and will never provide, long-term care insurance, nursing home insurance, or home care insurance. If You are interested in long-term care or nursing home or home care insurance, You should consult with an insurance agent licensed to sell that insurance, inquire with the insurance company offering the accelerated death benefits, or visit the California Department of Insurance Internet Web site (www.insurance.ca.gov) section regarding long-term care insurance.

If You choose to accelerate a portion of your Death Benefit, doing so will reduce the amount that Your beneficiary will receive upon Your death.

Receipt of Accelerated Death Benefits may be taxable. Prior to electing to buy the Accelerated Death Benefit, You should seek assistance from a qualified tax adviser.

Receipt of Accelerated Death Benefits may affect eligibility for public assistance programs, such as Medi-Cal or Medicaid. Prior to electing to buy the Accelerated Death Benefit, You should consult with the appropriate social services agency concerning how receipt of Accelerated Death Benefits may affect that eligibility.

Payment of Accelerated Death Benefits paid under this Endorsement are intended for favorable tax treatment under Section 101(g) of the Internal Revenue Code. Accelerated death benefit payments due to critical illness are subject to limits imposed by the federal government and any amounts received in excess of these limits are includible in gross income. You should seek assistance from a qualified tax adviser for assistance with any questions You may have.

PREMIUM – There is no additional Monthly Deduction or premium charge for the Accelerated Death Benefit Endorsement. However, the actual payment You receive in connection with any acceleration will be discounted and is lower than the Death Benefit amount accelerated.

THE BENEFIT AND ITS EFFECT ON POLICY PROVISIONS

For policies covering two lives where the insurance proceeds are payable upon the death of the Survivor, benefits under the Endorsement may only be elected after the death of the first Insured during the lifetime of the Survivor. The Survivor, not the first Insured, is the “Insured” for purposes of the Endorsement.

Upon written request by the Owner (“You” or “Your”) of the Policy, the company (“We”) will pay an Accelerated Death Benefit as described below, subject to the limitations and requirements described in the Accelerated Death Benefit Endorsement. Any assignee or Irrevocable Beneficiary must consent before we make an Accelerated Death Benefit Payment. The maximum Accelerated Death Benefit that We will accelerate on the Policy is $1,000,000. Accelerated Death Benefits will reduce the Death Benefit and Policy values, if any, which include but are not limited to the Account Value, Net Cash Surrender Value, and Policy Loan Value. In addition, because this benefit is paid prior to death, the actual payment You receive will be discounted and is lower than the Death Benefit amount accelerated.

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Phone: 800-669-9100 | **Fax:** 800-951-9430 | NorthAmericanCompany.com

Agent Instructions: Provide the Applicant a copy of this form; submit one copy to the Administrative Office and keep a copy for your records.

Accelerated Death Benefit for Critical Illness[1]: You may elect to receive advancement of the Death Benefit when the Insured is Critically Ill while the Endorsement is in effect.

An Insured qualifies as being Critically Ill if a Licensed Health Care Practitioner has certified within the past 12 months that the Insured has incurred a Specified Medical Condition listed below:

1. **Cancer**
   The following Cancers are covered:

   a) Any malignant tumor positively diagnosed with histological confirmation and characterized by the uncontrolled growth of malignant cells and invasion of tissue. The term malignant tumor includes leukemia, lymphoma and sarcoma.
   b) Malignant Melanoma skin cancer.
   c) all tumors of the Breast whether malignant or benign.
   d) All tumors of the prostate histologically classified as having a Gleason score greater than 6 or having progressed to at least clinical TNM classification T2N0M0.

   The following Cancers are not covered:

   a) All cancers which are histologically classified as any of the following:
      i) Premalignant (for example essential thrombocythemia and polycythemia rubra vera);
      ii) A cancerous disease that does not spread or damage other organs and tissues.
      iii) A cancerous disease that is non life-threatening or localized non-invasive tumors showing only malignant changes.
      iv) A surface tumor in which the growth pattern is intermediate between benign and malignant; highly curable but may recur after surgical removal.
   b) Any skin cancer that has been histologically classified as having caused invasion beyond the epidermis (outer skin layer).
   c) Thyroid Cancer classified as T1NOMO.
   d) All tumors of the prostate histologically classified as having a Gleason score of 6 or less or not having progressed to at least clinical TNM classification T2N0M0.

2. **Heart Attack** – means the death of heart muscle due to inadequate blood supply that has resulted in evidence of myocardial infarction based on typical rise and gradual fall of Troponin or more rapid rise and fall of isoenzyme of creatine kinase with muscle and brain subunits [CK-MB] and other biochemical markers of myocardial necrosis with at least one of the following:

   a) Typical clinical symptoms (chest pain may or may not be present);
   b) Characteristic electrocardiogram (ECG or EKG) changes indicating ischemia; or
   c) Coronary artery intervention.

3. **Kidney Failure** – means chronic and end stage renal failure (failure of both kidneys to function effectively) diagnosed and managed by a nephrologist, as a result of which regular dialysis is necessary.

4. **Major Organ Transplant** – means the undergoing as a recipient of a transplant of bone marrow or a complete heart, kidney, liver, lung, small intestine, or pancreas, or inclusion on the United Network of Organ Sharing (UNOS) waiting list. Transplant of any other organs, parts of organs, tissues or cells is not covered.

5. **Stroke** – means death of brain tissue due to inadequate blood supply or hemorrhage within the skull resulting in permanent neurological deficit with persisting clinical symptoms or traumatic brain injury or persistent, disabling clinical symptoms still present more than 30 days after the initial event. Transient Ischemic Attack (TIA) is not covered. For purposes of this endorsement Transient Ischemic Attack TIA means When blood flow to part of the brain stops for a short period of time, also called transient ischemic attack (TIA), it can mimic stroke-like symptoms. These symptoms appear and last less than 24 hours before disappearing.

The minimum Accelerated Death Benefit for Critical Illness at each Election is $2,500.

The maximum Accelerated Death Benefit for Critical Illness at each Election is the smaller of 25% of the Policy Death Benefit on the initial Election Date, or $50,000. The Accelerated Benefit Payment will be determined as of each Election Date and will be paid in a lump sum. We will pay the present value of the Accelerated Death Benefit. An actuarial discount based on mortality and interest will be applied to the Accelerated Death Benefit and this discount reflects the early payment of the Death Benefit that is being accelerated. On the Election Date, the Accelerated Death Benefit Payment and the Policy Debt will be reduced by the Debt Repayment Amount.

Monthly Deductions will remain the same as described in the Policy.

While the Critical Illness Election is in effect, You cannot take Withdrawals; cannot elect to increase or decrease the Specified Amount or change the Death Benefit Option. After any Election You may obtain Policy Loans as described in the Policy.

Upon any Election, all Endorsements and Riders attached to the Policy will continue to be effective subject to the terms and conditions of each Endorsement or Rider. After the Initial Election Date, additional Endorsement or Riders may be added to the Policy.

Election of Accelerated Death Benefits for Critical Illness is required within 12 months of occurrence date. Only one Election can be made for each occurrence of a Specified Medical Condition. If the Insured dies after You elect to receive Accelerated Death Benefits, but before the payment is made, the Election will be cancelled and the Death Benefit will be paid as described in the Policy.

[1] Proposed Insureds are subject to underwriting eligibility requirements to qualify for the Critical Illness Accelerated Death Benefit.

PROPOSED OWNER'S ACKNOWLEDGEMENT – I acknowledge that I received and read this Accelerated Benefit Summary and Disclosure Statement and the Agent described and provided a comparison of the differences between benefits provided under accelerated death benefit and benefits provided under long-term care insurance. This disclosure form is a summary only. We recommend that you consult your Endorsement for further details.

Insureds without health insurance are not eligible for this Accelerated Death Benefit for Critical Illness.

Is the person to be insured under this Endorsement covered by an individual, group health insurance policy or an HMO or employer plan providing for essential benefits? ☐ **Yes** ☐ **No**

Signature of Proposed Owner One X	Date
Signature of Proposed Owner Two X	Date
Signature of Agent X	Date

For Conversions, please indicate new Policy #, if assigned: Policy Number _____

Sample Illustrations of the Impact of Accelerated Death Benefits on Policy Provisions.

	Critical Illness
Accelerated Death Benefit	$50,000
Lump Sum Accelerated Death Benefit Discounted Payment	$18,000

Values Before Accelerated Death Benefit	**Critical Illness**
Death Benefit	$500,000
Death Benefit Proceeds	$480,000
Account Value	$100,000
Net Cash Surrender Value	$80,000
Cost of Insurance or Premium	$300
Outstanding Policy Debt	$20,000

Values After Accelerated Death Benefit	**Critical Illness**
Death Benefit	$450,000
Death Benefit Proceeds	$432,000
Account Value	$90,000
Net Cash Surrender Value	$72,000
Cost of Insurance or Premium	$0
Outstanding Policy Debt	$18,000